— Updated

Trump flags new tariff of 15 to 20pc on rest of world



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Washington | Australian exporters may face tariffs of 15 to 20 per cent at the United States border, with the Albanese government yet to strike a deal [https://www.afr.com/chanticleer/be-careful-celebrating-trump-s-tariffs-they-re-sand-in-the-wheels-20250725-p5mht0] and US President Donald Trump flagging a new, higher

baseline.

Trump revealed the range for the new minimum tariff on Monday (Tuesday AEST) in a press conference in Turnberry, Scotland, where he met British Prime Minister Keir Starmer.



British Prime Minister Keir Starmer and US President Donald Trump meet at Trump Turnberry in Scotland. **Bloomberg**

“We are going to be setting a tariff, for essentially the rest of the world and that’s

what they're going to pay if you want to do business in the United States," he said, and when asked the rate, replied "I would say in the range of 15 to 20 per cent. Probably one of those two numbers."

Trump, who for years has proclaimed himself a "Tariff Man", hopes that by making foreign-made goods more expensive, he will encourage more manufacturing firms to set up in the US.

After he laid out country-specific tariffs as high as 46 per cent in April, and then paused their implementation to allow for a period of dealmaking, the US has agreed to deals with Japan [https://www.afr.com/link/follow-20180101-p5mh5z], the European Union [https://www.afr.com/link/follow-20180101-p5mi7w], the Philippines, Vietnam [https://www.afr.com/link/follow-20180101-p5mc3t]

and Indonesia. Those agreements have locked in lower tariffs than first threatened, in return for countries opening up their markets to US exporters. Some, such as Japan and the EU, have also committed to investing in the US and buying more American goods.

The Albanese government has not badgered the Trump administration for a deal, given about $24 billion of Australian goods sold to the US annually were subject to the lowest rate, and there was no expectation that carve-outs would be applied to that baseline.

As such, the possibility of a new, higher rate will likely come as a shock to Australian officials and to the meat, gold and pharmaceutical vendors that make up almost half of the country's US-bound

exports.

It may also highlight, with the benefit of hindsight, the United Kingdom's strategy of locking in a 10 per cent rate, as it did when it became the first country to do a deal with Trump [https://www.afr.com/politics/federal/trump-s-uk-trade-deal-offers-pointers-for-australian-talks-20250509-p5lxyu] in May.

In an opulent ballroom at Trump's Scottish golf course, the US president noted numerous times during Monday's press conference that Starmer had proven to be a persistent and tough negotiator.

"He was calling me all the time [saying] 'we want this, we want that'," Trump said.

The Trump administration has levied tariffs

on Australia, despite a 20-year free trade agreement and a decades-long military alliance. Australia also buys more US goods than it sells to the US, meaning it runs a deficit in the $74.4 billion two-way trade relationship. Trump has raged against countries that run a trade surplus with the US.

In addition to locking in a 10 per cent tariff, the UK received an undertaking that its steel and aluminium manufacturers would pay a levy of 25 per cent, rather than 50 per cent that exporters from other countries, such as Australia, are paying.

Drugmakers around the world, including in Australia, are awaiting details of a soon-to-be-announced levy on pharmaceuticals, and the Trump administration is also weighing up specific border hits on copper, timber,

semiconductors and other goods.

Having previously threatened a pharmaceuticals tariff as high as 200 per cent, as soon as this Friday, Trump said the regime would be revealed soon. “We have a very big plan,” he said.

Last week, the Albanese government dropped a ban on some US beef [https://www.afr.com/link/follow-20180101-p5mh32] imports, which had been a longstanding complaint from American trade negotiators. Because of concerns about mad cow disease, Australia had prohibited beef from US cows that had been born elsewhere, such as Canada or Mexico. Cows that spent their whole life in the US had been welcome for some years.

Labor has been at pains to emphasise that

the change in policy was not as a result of pressure from the US, but rather based on scientific evidence that any threats were low and could be managed.

The move was nonetheless well received by Trump, even as experts said the amount of beef likely to be exported to Australia would be negligible given supply constraints in the US.

Trump and Starmer are set to travel together to Aberdeenshire to have a private dinner at another Trump-owned golf club. Trump is partway through a four-day trip to Scotland, where his mother was born.

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